

Narrative Summary: Recommendation: short NCLH at \$15.05, starting with a third of a full position. Our base-case value is \$10.80 a share (~28%), and our probability-weighted value is \$11.90 (~21%). The market values NCLH on net yield, the revenue it keeps per available berth-day after commissions and onboard costs, and the share price assumes net yield returns above its 2025 level. We expect it to fall again in 2027, for two reasons. First, NCL is losing the Caribbean to Royal Caribbean and Carnival. Their private islands and ships sell at full price, so NCL fills its ships by cutting fares, and its own new island and ships have not changed that. Our scrape of 4,783 itineraries from a public fare tracker shows NCL's 1H27 Caribbean fares down 14.5% while its rivals' are flat. Second, NCL's Best Price Guarantee gives guests no reason to book early, so management's plan to rebuild prices through early bookings will not work. NCL's deposits, taken from its SEC filings, already show the booking shortfall, and since COVID deposits have led net yield by about four quarters. Together the two theses lower ticket prices, occupancy and onboard spending in 2027, and they explain almost all of the \$221M gap between our 2027 EBITDA of \$2.47B and the Street's \$2.69B. Our 2027 EPS is \$0.95, against consensus of \$1.46–1.67 that has not yet absorbed the September interest guide.

Company Overview: NCLH operates 35 ships with about 75,000 berths. Norwegian Cruise Line (NCL), its mass-market brand, has about 83% of the berths; Oceania (upper premium) and Regent (luxury) have the rest. In 2025 NCLH earned \$9.8B of revenue, \$2.73B of adjusted EBITDA and \$2.11 of EPS. Net debt is \$14.8B, two-thirds of enterprise value, so small changes in net yield move the equity a lot: each 1% is worth about \$75M of EBITDA and 9% of the share price. 2026 has gone badly. NCL added about 40% more Caribbean capacity before its Great Stirrup Cay upgrade was ready, the Iran war pushed oil above \$100, and guidance fell from flat net yield and \$2.38 of EPS in March to about -5% and \$1.50 in July. In February John Chidsey replaced Harry Sommer as CEO under a cooperation agreement with Elliott, which owns more than 10%.

Industry Overview: Carnival (about 32% of capacity), Royal Caribbean (26%), MSC (10%) and NCLH (10%) carry about 80% of the market. Demand is healthy: Carnival's deposits are up 6.5% on flat capacity and Royal's are up 5.6%. The competition is in the Caribbean, where each large line now sells its own private island; NCL added the most new capacity there and finished its island last (September 2026). NCLH's strengths are luxury brands that are not cutting price and one of the youngest fleets. Its weaknesses are the highest leverage of the three (5.4x EBITDA), the weakest Caribbean product and a new CEO after two guidance cuts.

Market Expectations: Since 2024 NCLH's EV/EBITDA has moved with net yield growth ($r = 0.87$ over ten quarters), and on the four days management changed its yield outlook the stock lost 27 points against Royal and Carnival. Working back from the \$21.7B enterprise value at a 9% WACC, the price needs about \$3.0B of steady-state EBITDA. That is management's March guide, and it requires net yield above its 2025 level (Exhibit 1). The Street expects less but still expects a recovery: 2027 revenue of \$10.6B, EBITDA of \$2.69B and an \$18.80 average target that needs \$2.9B. Because net yield is occupancy times revenue per passenger day, the debate comes down to two drivers. The consensus case has ticket prices stabilizing and occupancy recovering by a point in 2027, and each of our theses goes against one of them.

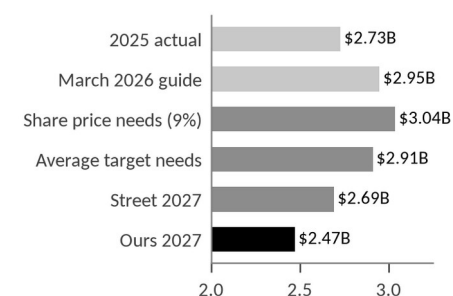
Estimates have not kept up with sentiment. Ratings are 4 Buy, 15 Hold and 0 Sell, and short interest is 20.7% of float, yet consensus 2027 EPS fell only two cents after NCLH guided 2027 interest \$0.35 a share higher on September 30. At the Street's own EBITDA and the guided interest, EPS would be about \$1.41. Bulls argue that the selloff was about oil and the sector. Our regression attributes 54% of the decline to the market, oil and peers, but NCLH moved no more than Carnival on the biggest oil days, and the NCL-specific 46% came on six company news days and did not reverse.

Thesis 1: NCL is cutting prices because it is losing share in the Caribbean, and those cuts will reach 2027 revenue. The Street sees the discounting as a result of the war and of execution problems that the finished island and new ships will fix in 2027. We think the cause is competition. Every large line added Caribbean ships and a private island at the same time, and because a ship costs about the same to sail full or empty, the line with the weakest product fills its ships by cutting price. The fare data supports this. On October 2 we compared the lowest fare on 4,783 itineraries with each itinerary's own 90-day average. NCL has cut 1H27 Caribbean sailings by a median 14.5% and Europe by only 2%, even though two-thirds of its European guests fly in and face higher airfares. Royal and Carnival also added Caribbean ships, yet they have held Caribbean prices and are discounting Europe instead (Exhibit 2). If the war were the cause, the pattern would be the reverse. The cuts are also recent: NCL cut prices less often than Royal in 2025, but between December and October it went from 1 to 9 of the industry's 10 largest monthly price cuts. The new product has not stopped them. Sailings that call at NCL's island are cut as much as its other Caribbean sailings, and its newest ships are cut 22%, against 1% for Royal's newest. Oceania and Regent show no cuts, so the problem is the NCL brand.

We apply the cuts only to cabins NCL has not yet sold. Lowest fares are not realized prices, but realized prices are moving the same way: ticket revenue per passenger day fell 5.6% in 1H26. Using a standard booking curve plus the shortfall from Thesis 2, about 45% of 1Q27 and 55% of 2Q27 cabins are still unsold. We weight the NCL brand at 65% of ticket revenue, which matches NCLH's reported \$265 of ticket revenue per passenger day if Oceania and Regent sell near their lowest fares. The result is 1H27 ticket revenue per passenger day down 2.6% y/y, against 1.1% in the consensus case, and 4Q26 net yield of -7.0%, half a point below the implied guide. The main risk is that the cuts reverse before guests book, so we re-run the fare panel every month.

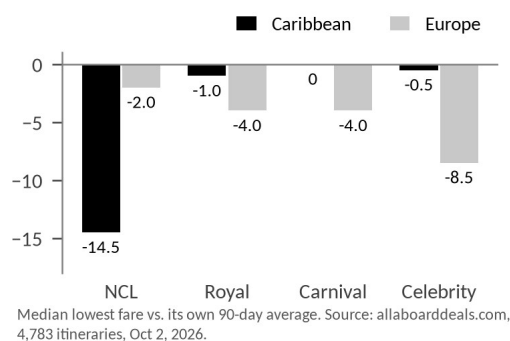
Thesis 2: NCL's booking shortfall is already in its deposits, and deposits lead net yield by about a year. The consensus case has net yield up about 3% in 2H27, helped by easy comparisons and by base-loading: opening sailings at lower fares and raising them as ships fill. Zacks expects this to "maximize yield across the full booking cycle while maintaining pricing integrity." Base-loading needs guests who book early because they expect prices to rise, and NCL's Best Price Guarantee removes that reason. Before final payment, a booked guest can move to any lower fare. After final payment, a guest on a cruise of six nights or more gets an upgrade or future-cruise credit for the difference; Royal offers nothing at that stage. NCL has also taught guests to wait: 77% of its 4Q26 Caribbean sailings of seven nights or more have been cut by 20% or more. Filling ships late is expensive. In 1Q26 NCL raised occupancy 2.3 points by cutting price, yet net yield fell 1.0% and onboard revenue per passenger day fell 2.9%, because guests who buy on discount spend less on board.

Exhibit 1: Adjusted EBITDA (\$B)



Source: NCLH 8-Ks; Yahoo/Zacks; team model (reverse DCF at 9% WACC).

Exhibit 2: Fare change, 1H27 sailings (%)



Deposits already show the shortfall. Deposits per future berth-day are down 8.3% y/y, the seventh decline in a row, while Royal's and Carnival's are growing, and NCL says it is "below its optimal booked position for the next 12 months." The decline is not a shift to shorter cruises, which book later: 3-5 night sailings are about a third of 4Q26 Caribbean itineraries at NCL, Royal and Carnival alike. The lag to net yield is predictable. Before COVID they led net yield by one to two quarters. Since COVID guests book further ahead, with advance ticket sales at about a third of annual revenue against a quarter in 2016-18, and the lead has stretched to about four quarters. Deposits turned negative in December 2024, and net yield followed in 1Q26. At a four-quarter lead, the indicator has called the direction of net yield in 5 of 6 reported quarters, and it also fits the 3Q26 guide and the 4Q26 implied figure (Exhibit 3). The March and June readings therefore point to weak 1Q27 and 2Q27 results, the quarters consensus expects to recover. A simple fit over these eight quarters implies 1H27 net yield of about -4%, against -2.6% in our model and -0.2% in the consensus case.

We size the shortfall at 5 points, the midpoint of what deposits imply (about 3 points if booked fares fell as much as realized fares, about 8 if they were flat). We assume 20% of those cabins sail empty, about half of what the 2026 link between deposits and occupancy implies, and that the rest sell late at NCL's current close-in discount of about 25%. This puts 2027 occupancy at 102.1%, a point below the consensus case, takes 0.9 points off 2H27 ticket prices and holds onboard spending growth to 2%, against 3.5% in the consensus case (-0.3% in 2025, about +1% in 1H26).

Model and valuation: Our model builds net yield quarter by quarter, as occupancy times ticket and onboard revenue per passenger day, less commissions and onboard costs. Three alternative-data builds feed it. The fare panel (4,783 itineraries across nine lines, each measured against its own 90-day price history) sets the price cut on unsold cabins by brand and region. The deposit build (SEC filings for NCLH, Royal and Carnival, back-tested over 20 quarters) sets the booking shortfall. A ship-by-ship fleet build sets quarterly capacity from delivery and exit dates. Our consensus case runs the same model on the Street's assumptions and reproduces its 2027 revenue (\$10.6B) and, at run-rate unit costs, its EBITDA (\$2.68B against \$2.69B). Because we use the same costs, the \$208M gap to our \$2.47B comes entirely from the two theses (Exhibit 4).

Driver (data source)	Consensus case	Ours	2027 EBITDA (\$M)
4Q26 net yield, exit rate (fare panel)	-6.0%	-7.0%	-29
1H27 ticket price y/y (fare panel)	-1.1%	-2.6%	-44
2H27 ticket price y/y (deposits)	+0.3%	-0.6%	-17
2027 occupancy (deposits)	103.1%	102.1%	-76
Onboard spend per guest y/y (both)	+3.5%	+2.0%	-42
2027 EBITDA, same unit costs	\$2.68B	\$2.47B	-208

Valuation: Below EBITDA, unit costs excluding fuel rise 1% (as in 2025), fuel costs \$800 a ton, D&A is \$1.15B and interest is the \$870M NCLH guided on September 30, which gives 2027 EPS of \$0.95. We value the shares on 2027 EBITDA at today's forward multiple of 8.5x: the market's \$22.8B enterprise value (market cap plus year-end net debt) divided by the Street's \$2.69B. Applying that multiple to our \$2.47B and deducting \$15.9B of year-end net debt gives \$10.82 a share (-28%). A DCF supports this. Discounting 2027-30 unlevered free cash flow, which is negative in 2027 while \$2.9B of newbuild payments continue, at a 9.05% WACC and adding an exit value at 8.5x 2030 EBITDA of \$3.15B gives \$8.26. The bull case assumes consensus EPS is right, which needs the Street's revenue plus unit costs falling 0.5%, and a re-rating to 9x; the bear case extends the 1H27 discounting into 2H27.

Scenario	Prob.	2027 net yield	2027 EBITDA	EV / EBITDA	Value	vs. \$15.05
Bull: consensus EPS is right and the stock re-rates	25%	+1.6%	\$2.79B	9.0x	\$19.74	+31%
Base: our view	50%	-0.7%	\$2.47B	8.5x	\$10.82	-28%
Bear: discounting spreads into 2H27	25%	-2.6%	\$2.22B	8.5x	\$6.24	-59%
Probability-weighted					\$11.90	-21%

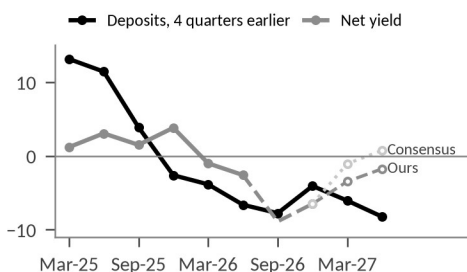
Return profile: Weighted 25/50/25, value is \$11.90 (-21%), with \$19.70 (+31%) in the bull case and \$6.20 (-59%) in the bear case. The largest valuation risk is the multiple: at 9.0x, our EBITDA is worth \$13.70 (-9%). We keep today's multiple because NCLH's multiple has fallen with net yield, from 10.0x in September 2025 to 8.7x in March 2026. If cost savings let unit costs fall 0.5%, value rises to \$12.80 (-15%).

Catalysts and when we would cover: On November 4 NCLH reports 3Q26. Earnings should beat (\$0.90 guided against \$0.83 consensus), but those cruises were sold before the cuts, so the number that matters is September 30 advance ticket sales, which we expect at \$2.94B (-7% y/y). In late February NCLH gives its first 2027 guide, which we expect at or below flat net yield against +1.6% in the consensus case. In May, 1Q27 results test our occupancy of 101.8% and ticket price decline of 2.8%. We would cover if the data turns against us, whatever the price: advance ticket sales of \$3.11B or more, a fare-panel re-run showing NCL's 1H27 Caribbean cuts back near its peers', or a 2027 guide above +1%.

Risks and sizing: The main risk is a squeeze. 95M shares are short (5.7 days to cover), and the stock rose 48% in six weeks this spring when oil fell. Because about half of NCLH's moves follow oil and its peers, we would start with a third of the position, add on oil- or ceasefire-driven rallies and around November 4 and February, and hold part of the position in puts. We would stop out above \$19, where shorts added at about \$18 are under water and the bull case begins. Two other risks matter. Elliott could push for a sale, although net debt above 5x EBITDA makes a buyout hard to finance. And we could be early, since the timing of the deposit lag is estimated from eight quarters.

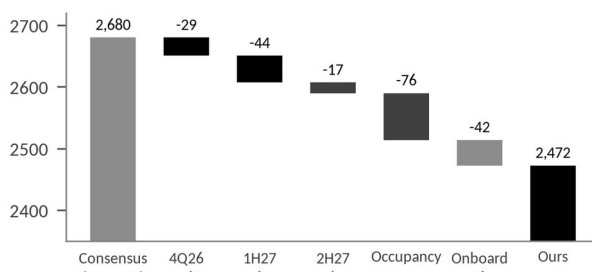
Sources: NCLH 8-Ks (Nov 4, 2025-Sep 30, 2026), 10-Ks FY24-25, 2Q26 10-Q and call; ncl.com Best Price Guarantee terms; allaboarddeals.com fares (collected Oct 2, 2026) and policy summary (Apr 2026); Carnival 8-K (Sep 29, 2026); Royal Caribbean 2Q26 10-Q; SEC XBRL; Nasdaq/Zacks and Yahoo consensus (Oct 2, 2026); Wells Fargo note via news reports (Sep 2026); FINRA short interest; FRED; Kenneth French Data Library. Estimates are the team's (NCLH_model_v6.xlsx). AI disclosure: [team to complete under Rule 10].

Exhibit 3: Deposits vs. net yield (% y/y)



Deposits per future berth-day shifted 4 quarters. Dashed: 3Q-4Q26 guide, then 1H27 model. Source: SEC XBRL; 8-Ks; team model.

Exhibit 4: 2027 EBITDA, consensus case to ours (\$M)



Black: fare panel. Dark gray: deposits. Gray: guest mix (both). Unit costs are run-rate in both; consensus EPS also needs them to fall (another \$107M).